

**BEFORE THE
FEDERAL MARITIME COMMISSION**

LOGFRET, INC.,

Complainant,

v.

Docket No. 18-10

KIRSHA, B.V.,
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,
LINDA SIEVAL,

Respondents.

**MEMORANDUM OF EXCEPTIONS AND BRIEF IN SUPPORT OF SUCH
EXCEPTIONS**

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I. Summary of Argument

Respondents submit their Exceptions to the ALJ's Order Denying Respondents' Petition for Attorney Fees based on the Complainant's intended frivolous suit that was characterized by consistently alleging facts that underscored owner/management disputes that were being litigated in the Netherlands as opposed to allegations of violations of the Shipping Act, a predicate to commencing a Complaint proceeding at the Federal Maritime Commission. Complainant's allegations were ultimately found to be factually and legally insufficient, and Respondent's Motion to Dismiss was granted by the Administrative Law Judge ("ALJ"). But more than insufficient, the allegations were objectively unreasonable, frivolous, and intended to harass minority stockholders of Logfret B.V. from the beginning of the lawsuit. Unlike the Commission's finding in *Baltic Auto Shipping, Inc. v. Hitrinov*, 34 S.R.R. 944, 955 (FMC 2017), where the party defending against attorneys' fees "had a colorable argument that its claim arose within the statute of limitations and that the claim was not objectively unreasonable," here Complainant's averments were blatantly objectively unreasonable, and had no legal or factual support. "'Objective unreasonableness' is generally used to describe claims that have no legal or factual support." *Viva Video, Inc. v. Cabrera*, 9 Fed. App'x 77, 80 (2d Cir. 2001).

From the start of the proceeding, Complainant's Initial Complaint contained allegations which were objectively unreasonable since the Complaint did not even aver required elements of the statute. Further, as the Complainant's arguments continued to develop in its Amended Complaint and in its Memorandum in Opposition to Motion to Dismiss, the Complainant's arguments became more unreasonable and further underscored a frivolous intent.

The Complainant did not initially plead that any of the Respondents were ocean common carriers, ocean freight forwarders, or marine terminal operators, which left the Complaint

without any allegation of personal or subject matter jurisdiction under the Shipping Act. When given the opportunity to amend the complaint, Complainant flatly alleged that the two natural person Respondents were common carriers without any factual supporting averments in the Amended Complaint. Complainant then, in the Memorandum in Opposition to Motion to Dismiss, withdrew those allegations that the persons were common carriers and, instead, utilized an argument that the Respondents were “other persons” under the Act—an argument that Complainant’s counsel should have known was previously rejected by the Commission and, in fact, as will be demonstrated, counsel did have actual knowledge of its rejection.

As to Respondent, Kirsha, B.V., Complainant provided a plethora of outright falsehoods, and other unsupported allegations that easily reach the “objectively unreasonable” standard set by case law and the ALJ. The overall conclusion that can be easily reached is that the rationale for filing the Complaint had more to do with punishing the competing minority ownership interests in Logfret B.V. in a dispute unrelated to the Shipping Act.

For these reasons, Respondents will demonstrate that they are entitled to attorney fees.

II. Respondents’ Exception to ALJ’s Order Denying Respondents’ Petition for Attorney Fees

Respondents take exception to ALJ’s Order Denying Respondents’ Petition for Attorney Fees.

III. Procedural History

On November 14, 2018, Complainant attempted to shoehorn a commercial employment management dispute into a violation of 46 U.S.C. § 41103(a), the Shipping Act of 1998, as amended (“the Act or the Shipping Act”), when Complainant filed its initial complaint. On January 28, 2019, Respondents filed a motion to dismiss. On February 7, 2019, Complainant filed a motion to amend the complaint. In response to an order, on February 21, 2019,

Complainant filed a memorandum in support of the motion to amend the complaint and attached the proposed amended complaint. On March 7, 2019, Respondents filed an opposition to the motion to amend the complaint and statement of impact of the proposed amendment on their motion to dismiss. On April 24, 2019, an order was issued granting the motion to amend the complaint and allowing the parties additional time to brief the motion to dismiss as applied to the amended complaint.

On May 8, 2019, Complainant filed a memorandum in opposition to Respondents' motion to dismiss. On May 20, 2019, Respondents filed a reply to Complainant's opposition to the motion to dismiss. On September 17, 2019, an initial decision was issued granting the motion to dismiss. The initial decision became administratively final on October 21, 2019.

On October 23, 2019, Respondents filed a petition seeking attorney fees in this proceeding, which had become administratively final on October 21, 2019. In response to a *sua sponte* order providing additional time, on November 7, 2019, Respondents filed a supplement to the petition for attorney fees. Complainant filed its response to the petition on January 13, 2020. On February 20, 2020, the ALJ issued its Order Denying Respondents' Petition for Attorney Fees.

IV. Argument

Respondents Kirsha, B.V., Hans Bergwerff, and Linda Sieval, (collectively, "Respondents"), pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure ("Commission Rules"), 46 C.F.R. § 502.227, hereby submit their Exceptions to the ALJ's Order Denying Respondents' Petition for Attorney Fees, 18-10 (Feb. 20, 2020). Beyond the mere insufficiency of the initial and amended pleadings, Complainant amply demonstrates it intended a frivolous suit by consistently alleging facts that underscored management disputes among the owners of Logfret B.V., and by the

allegation of Shipping Act violations in strained language which was ultimately found by the ALJ to be legally and factually insufficient.

The facts show that the real issues were management/owner disputes as supported by the various allegations in the initial and amended Complaint, and by the fact that Kirsha, B.V., a Respondent, owns 27.42% of Logfret B.V., and is 50% owner of the company which is Logfret B.V.'s landlord, and that Kirsha, B.V. is 100% owned by Hans Bergwerff, an individual Respondent. It is clear that Complainant is principally motivated by the intent to harass the individual Respondents with whom Complainant was engaged in lawsuits in the Netherlands on owner/management issues. It should be underscored that the Complaint was filed for unspecified damages of \$2,000,000.00 aimed at two individuals, and Kirsha, B.V. Certainly, this is an amount intended to cause harassment and anguish to the two individual Respondents, especially, since as it turned out, there was no lawful support for these allegations as violations of the Shipping Act. As a result, Respondents are clearly entitled to attorney fees as will be demonstrated herein.

The Administrative Law Judge ("ALJ") concluded that Complainant's complaint alleged colorable allegations under the Act, and that the claims were "objectively reasonable." The ALJ further stated that the alleged violations did have legal or factual bases, and if proven would have supported violations of the Act, and concluded that if a claim was not successful, as in this case, did not automatically mean that it was objectively unreasonable. *Baltic Auto Shipping*, 34 S.R.R. at 955.

Respondents disagree that Complainant ever alleged colorable allegations that were objectively reasonable. Respondents contend that the record demonstrates that the alleged violations were frivolous and intended to harass Respondents for commercial management

disputes for which they were seeking redress in the courts of the Netherlands. Complainant blatantly used the facilities of the Federal Maritime Commission for purposes for which they were not intended, and which the Commission will want to discourage others to emulate.

A. Complainant's Initial Complaint Was Seriously Flawed and Did Not Allege Colorable Allegations Which Were Objectively Reasonable.

Complainant in the initial Complaint did not plead directly nor did it even plead facts from which it might be concluded that either of the individual Respondents, or that Kirsha, B.V. were acting as ocean common carriers, as ocean freight forwarders, or as marine terminal operators during the period in question. It is important to note that the ALJ relied on *DNB Exports LLC v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S.*,¹ 33 S.R.R. 133, 163 (ALJ 2014) (*rev'd in part*, 33 S.R.R. 670 (FMC 2014)) to make a finding that persons liable under the pertinent section of the Act upon whom this Complaint was brought were required to have acted as either ocean common carriers, as ocean freight forwarders, or as marine terminal operators. Pages 8, 12, *Initial Decision Granting Motion to Dismiss*.

It is not worth burdening the record by repeating the flawed Complaint pleadings. However, it is worth noting, that counsel for Complainant, as noted in footnote 1, was directly familiar with the *DNB Exports* jurisdictional standards and failed to allege the very elements upon which it won its case for Impexia in *DNB Exports*. What is clear is that at this stage Complainant had alleged neither viable nor colorable allegations that were objectively reasonable. At this point, Respondents were obliged to file a Motion to Dismiss on January 4,

¹ In *DNB Exports*, the Administrative Law Judge found that the Commission did not have jurisdiction over respondent Impexia, a procurement firm, under the theory that Impexia could not be liable as an "other person" under section 10(b)(13), the former version of section 41103(a). In other words, the Commission held that Impexia, to be subject to this section of the Act, would need to have been found to have acted as a common carrier, ocean freight forwarder, and/or a marine terminal operator. Interestingly, lead counsel for Impexia, who obtained this important decision, is lead counsel for Complainant in this case which failed to plead these requisite elements for a case under section 41103(a).

2019 on the basis that the Complainant had not alleged violations of 46 U.S.C. § 41103, nor had it alleged appropriate personal jurisdiction over Respondents. Lastly, counsel's position in *DNB Exports* in its representation of Impexia raises questions as to why Complainant did not allege the requisite elements at the point of the initial pleadings. It also is telling when these elements (that Respondents were non-vessel operating commons carriers) were introduced during the Amended Complaint part of the proceeding, that they were replete with spurious facts to support the allegations. This clearly adds facts with which to evaluate the intent of Complainant in bringing this action. This will also assist in the task of evaluating the "colorable" and "objective unreasonable" elements of the analysis of the allegations and their so-called supporting facts.

Complainant, at this juncture, did not file an Opposition to Respondents' Motion to Dismiss but rather, not surprisingly, filed its own Motion to Amend Complaint on February 7, 2019, which was ultimately granted by the ALJ on April 24, 2019. Complainant filed its Amended Complaint the same date. There were various filings by the parties between the filing of the Motion to Amend Complaint and the Order granting the Motion to Amend.

B. Complainant's Amended Complaint Was Seriously Flawed in That it Formulaically Alleged That the Two Respondent Individuals Were Acting as Common Carriers and Then in Complainant's Memorandum in Opposition to Respondents' Motion to Dismiss Controverted its Allegations That the Individual Respondents Were Common Carriers.

It was clear that Complainant, with regard to the two natural person Respondents, again for the second time in the proceeding, did not allege colorable allegations in its Amended Complaint, since by its own arguments in its Memorandum in Opposition to Motion to Dismiss, Complainant (admitting these Respondents were not common carriers) was objectively unreasonable in its support of the allegations that the individual Respondents were common carriers as pled in the Amended Complaint.

In contrast to the formulaic proclamations that the two natural person Respondents were acting as common carriers, Complainant readily, lucidly, and unequivocally withdrew those allegations in its Memorandum in support of the Opposition to Motion to Dismiss. Complainant concludes that the individual respondents are still subject to 46 U.S.C. § 41103(a) in that they acted in conjunction with Delmar USA as “other persons.” This conclusion is curiously taken by Complainant, notwithstanding the Commission’s holding in *DNB Exports*, and Complainant lead counsel’s direct involvement with that case. Respondents take the above to mean that Complainant admits that these individuals, notwithstanding the allegations in the Amended Complaint to the contrary, are not common carriers, and did not “hold out” or “act” as common carriers. Complainant, in pertinent parts, has clearly taken the above noted positions in the following statements in their *Opposition*:

As discussed supra, it is clear that Delmar USA is, in fact, an NVOCC and, by extension, a “common carrier” under the Shipping Act. 46 U.S.C. § 40102(6). Moreover, Complainant’s allegations recognize that Delmar USA participated in the violation of 46 U.S.C. § 41103(a) “in conjunction with . . . other person[s] . . . indirectly.” These other persons were Respondents, Kirsha B.V., Mr. Bergwerff, and Ms. Sieval, who are named parties in this proceeding. The Commission’s jurisdiction extends to such persons—a position supported by a plain reading of 46 U.S.C. § 41103(a). . . . **As noted, Kirsha B.V. is a common carrier. The fact that the other two Respondents are not common carriers** is not a magic talisman that absolves them of responsibility—or liability—for the damages that resulted from their actions. Pages 7-9, *Complainant’s Opposition* (Emphasis supplied).

These admissions in the Memorandum in support of the Opposition to Motion to Dismiss certainly again negates the allegations as colorable that the natural persons are common carriers and pretty much, under any standard, makes these allegations objectively unreasonable if not altogether absurd. The helter skelter approach of alleging in the amended complaint that the natural person Respondents were ocean carriers, and then immediately averring that they are not common carriers in the *Opposition to Motion to Dismiss*, raises questions not only of

reasonableness, but of the underlying motives of Complainant altogether in filing this Complaint.

We suggest that the Commission complaint system is being played for ulterior motives.

C. Complainant's Amended Complaint Was Seriously Flawed in That it Formulaically Alleged That Respondent Kirsha, B.V. Acted as a Common Carrier and Did Not Provide Objectively Reasonable Support For This Allegation.

Leendert Johannes Bergwerff, Respondent, by sworn declaration in support of Respondents' Motion to Dismiss filed on January 28, 2019 stated the following with regard to Kirsha, B.V.:

- Respondent Kirsha, B.V. is a corporation organized and registered in The Netherlands on or about March 1996, under the laws of The Netherlands.
- Leendert Johannes Bergwerff is the sole owner and managing director of Kirsha, B.V.
- Kirsha, B.V., is a holding company only, and owns 27.42% of the shares of Logfret B.V. in the Netherlands. Kirsha, B.V. also owns 50% of the shares of Meer Retail B.V.
- Meer Retail B.V. is Logfret B.V.'s landlord for its office in The Netherlands. This relationship commenced in December, 2015 with a five year lease which is still in effect until December, 2020.
- Kirsha, B.V. operates exclusively as a financial holding company of shares of other companies and does not and has never acted as a common carrier, ocean freight forwarder, or as a marine terminal operator as those terms are defined by U.S. shipping laws.

As previously noted, Complainant, in its initial Complaint did not specifically nor factually allege that Kirsha, B.V. was a person subject to 46 U.S.C. § 41103(a). Complainant in its Amended Complaint formulaically alleged that Kirsha, B.V. had acted as an ocean common carrier.

The following are circumstances in which Complainant alleged that the FMC has found unlicensed entities to be "holding out" as NVOCCs operating in the U.S. trades, and where Complainant has made the generally false and unsupported statement that "it is Complainant's understanding that Kirsha, B.V. performed all of the above [in this case, below] unlicensed NVOCC activities." Page 8, Complainant's *Opposition*. These are all false statements uttered

by Complainant as applicable to Kirsha, B.V. but which are contradicted by facts in the proceeding, by other facts posed by Complainant to the contrary, and, in general are clearly falsely alleged that they apply to respondent Kirsha, B.V. More importantly to the issues at hand, the following averments cannot be considered as objectively reasonable nor sufficient in any manner to provide support for colorable allegations that Kirsha, B.V. acted as a common carrier to support the ALJ's conclusion that these qualify as a basis for not granting Respondents' attorney fees:

- a. Maintaining an Internet website in its own name that advertised the company as providing international relocations services; Page 7, Complainant's *Opposition*.

Comment: There has never been a web site for Kirsha, B.V. In fact, it is in the uncontroverted record of this proceeding that Kirsha, B.V. is one-half owner of a company which leases offices to Logfret B.V. Respondents. Page 17, *Memorandum in Support of Motion to Dismiss*. Therefore, this statement is clearly false.

- b. Paying third parties for business leads; Page 7, Complainant's *Opposition*.

Comment: This is a false and absurd statement as Complainant has nothing on which to base this statement, but an unsupported averment.

- c. Accepting shipments from different individual proprietary shippers for transportation in the U.S. trades; Page 7, Complainant's *Opposition*.

Comment: This is a false conclusory statement, and Complainant has nothing on which to base their statement.

- d. Having a name that implies the company provides international shipping services; Pages 7, and 8 Complainant's *Opposition*.

Comment: This is a false statement on its face since Kirsha, B.V. does not so imply in any language. Therefore, again, Complainant has nothing on which to base their statement.

- e. Issuing bills of lading with the address of the company; Page 8, Complainant's *Opposition*.

Comment: This is clearly a false statement. In fact, the only address in the record on the Logfret Cargo Line bills of lading traditionally used by Complainant, and alleged to have been the bill of lading issued by Kirsha, B.V., is for Logistique Holding SAS, the parent of Complainant — i.e., Z.I. du Coudray — 2, rue Copernic- 93605 Aulnay-Sour-Bois cedex- France. (See Complainant's Memorandum in Support of Motion to Amend, Exhibit 6). These were bills of lading generally issued by Logfret B.V. by their employees as the record notes.

- f. Having house bills of lading issued with the shipper "c/o" the company; Page 8, Complainant's *Opposition*.

Comment: This is a false statement as Complainant has nothing on which to base their statement.

- g. Issuing invoices with the name of the company; Page 8, Complainant's *Opposition*. **Comment:** This is a false statement as Complainant has nothing on which to base their statement.

- h. Collecting payments directly from shippers by wire transfers, checks or online payments; Page 8, Complainant's *Opposition*.

Comment: This is a false statement as Complainant has nothing on which to base their statement.

- i. Directly paying licensed carriers, VOCCs or NVOCCs, for the shipment; Page 8, Complainant's *Opposition*.

Comment: This is a false statement as Complainant has nothing on which to base their statement.

- j. Arranging and paying inland freight charges for through shipments; Page 8, Complainant's *Opposition*.

Comment: This is a false statement as Complainant has nothing on which to base their statement.

- k. Arranging for marine insurance among others; Page 8, Complainant's *Opposition*.

Comment: This is a false statement as Complainant has nothing on which to base their statement.

All of the above are clearly false statements by Complainant intended to confuse the record of this proceeding and to attempt to establish a common carrier status for Kirsha, B.V. which is not successfully nor plausibly accomplished. In fact, as noted, some of these are readily seen from a common sense perspective as outright falsehoods. These surely do not establish a basis for concluding that Complainant had established credible averments that resulted in colorable allegations under the Act, and that the claims raised were "objectively reasonable," sufficient to uphold a conclusion that these would disqualify an otherwise reasonable request for attorney fees.

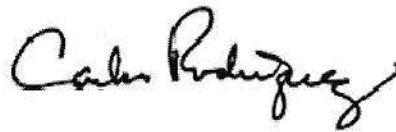
In fact, the above incomprehensible, unsupported, and unreasonable litany of unlawful acts of Kirsha, B.V., described as supporting that Respondent was performing NVOCC activities, clearly demonstrates strong support for the granting of attorney fees. It would be difficult to justify that these averments are objectively reasonable. In fact, it would be

unreasonable to characterize these in any way other than they are unreasonable and are motivated by reasons other than to allege violations of the Shipping Act.

V. Conclusion

As explained in Respondents' Exceptions, the Commission should conclude that the Amended Complaint alleged that the natural person Respondents, and Kirsha, B.V. were acting as ocean common carriers, a status which is a *sine qua non* to the claimed violations of 46 U.S.C. § 41103(a), and that these allegations and averments were not supported by "objectively reasonable" facts and law. A review of these facts surely does not establish a basis for concluding that Complainant had established credible averments that resulted in colorable allegations under the Act, and that the claims raised were not "objectively unreasonable," sufficient enough to uphold a conclusion that these would disqualify an otherwise reasonable request for attorney fees. Respondents, respectfully request the Commission that legal fees in the amount of \$47,518.00 be awarded pursuant to Section 11 of the Shipping Act, 46 U.S.C. § 41305, and 46 C.F.R. § 502.254.

Respectfully submitted,



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Dated: March 26, 2020

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CERTIFICATE OF SERVICE

I hereby certify that on this 26th day of March 2020, a true and complete copy of the foregoing *Memorandum of Exceptions and Brief in Support of Such Exceptions* was served on the following by electronic mail and first class mail, postage pre-paid:

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